

Wuxi Bio 2269.HK 2269 HK

EQUITY: HEALTH CARE & PHARMACEUTICALS

1H26F preview and FY26F forecast revisions

We expect solid operations but anticipate headwind from FX impact and investment losses

We estimate 1H26F top-line grew 15.5%, while non-recurring items likely drove bottom line down 15.3% y-y

We expect Wuxi Bio to report 1H26F revenue of CNY11.5bn (+15.5% y-y). By segment, we forecast revenue of pre-IND / early-stage services / late-stage manufacturing registered 12%/18%/18% y-y growth to CNY4.6bn/CNY1.6bn/CNY5.1bn, considering the robust "R" business growth (despite the base being a bit high) and big commercial stage projects (management noted that the top 3 manufacturing projects should each generate over USD100mn revenue in 2026E).

By margin, we estimate gross margin declined slightly by 0.7pp to 42.0% and operating margin contracted 0.9pp to 27.8%, led by an FX impact headwind (average USD/CNY declined from 7.18 in 1H25 to 6.89 in 1H26). For 1H26F, anticipating loss from investment owing to challenging market conditions, we forecast net profit to shareholders came in at CNY2.0bn (-15% y-y).

Maintain Buy rating and raise TP to HKD51.38 from HKD50.54, implying 30.9% upside

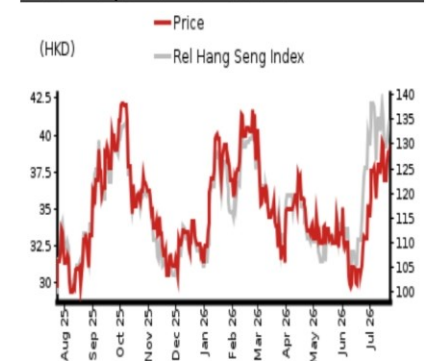
Recall that in end-May, management updated the company's healthy growing trend and reiterated its 2026E top-line growth target (see our report: *Quick Note - Wuxi Bio (2269 HK) (Buy) - FY26E topline guidance reaffirmed and mid-term topline growth target provided*).

For 2H26F, we expect revenue/net profit to shareholders to increase by 15.1%/14.0% y-y to CNY13.6bn/CNY2.9bn, with anticipation of less impact from non-recurring items. We lower FY26F revenue forecast by -1.9% while we cut earnings estimate by 14.0%, reflecting the stronger FX negative impact and loss on investment. We raise our mid-term top-line growth forecast, owing to the brighter outlook provided by management earlier in May.

We maintain our Buy rating and slightly raise our DCF-based (assuming a WACC of 10.1% and a terminal growth rate of 4.0% – both unchanged) TP to HKD51.38 from HKD50.54. The stock currently trades at 28.7x FY26F fully diluted EPS of CNY1.16.

Rating	Buy
Remains	
Target price	HKD 51.38
Increased from	
HKD 50.54	
Closing price	HKD 39.24
23 July 2026	
Implied upside	+30.9%
Market Cap (USD mn)	20,664.0
ADT (USD mn)	136.1

Relative performance chart



Source: LSEG, Nomura

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Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	21,790	25,604	25,123	29,093	29,450	0	33,528
Reported net profit (mn)	4,908	5,708	4,911	6,756	6,653	0	7,661
Normalised net profit (mn)	4,908	5,708	4,911	6,756	6,653	0	7,661
FD normalised EPS	1.16	1.35	1.16	1.66	1.63		1.88
FD norm. EPS growth (%)	46.3	16.3	0.1	22.6	40.3		15.1
FD normalised P/E (x)	28.7	–	28.7	–	20.5	–	17.8
EV/EBITDA (x)	16.5	–	14.9	–	11.4	–	9.3
Price/book (x)	2.9	–	2.6	–	2.3	–	2.0
Dividend yield (%)	–	–	–	–	–	–	–
ROE (%)	11.0	11.5	9.9	12.1	12.0		12.2
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash		net cash

Source: Company data, Nomura estimates

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Key data on Wuxi Bio

Performance

(%)	1M	3M	12M		
Absolute (HKD)	26.0	15.7	36.5	M cap (USDmn)	20,664.0
Absolute (USD)	26.0	15.6	36.6	Free float (%)	84.3
Rel to Hang Seng Index	18.0	18.4	37.8	3-mth ADT (USDmn)	136.1

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	18,675	21,790	25,123	29,450	33,528
Cost of goods sold	-11,025	-11,772	-14,019	-15,785	-17,904
Gross profit	7,651	10,019	11,104	13,665	15,624
SG&A	-2,914	-3,167	-3,613	-4,192	-4,722
Employee share expense					
Operating profit	4,737	6,852	7,491	9,473	10,903
EBITDA	6,035	8,219	8,872	11,048	12,641
Depreciation	-1,243	-1,308	-1,258	-1,433	-1,575
Amortisation	-55	-59	-123	-142	-164
EBIT	4,737	6,852	7,491	9,473	10,903
Net interest expense	-158	-143	-157	-173	-190
Associates & JCEs					
Other income	255	548	-251	294	335
Earnings before tax	4,834	7,257	7,082	9,595	11,047
Income tax	-889	-1,524	-1,346	-1,823	-2,099
Net profit after tax	3,945	5,733	5,737	7,772	8,948
Minority interests	-589	-825	-825	-1,118	-1,287
Other items					
Preferred dividends					
Normalised NPAT	3,356	4,908	4,911	6,653	7,661
Extraordinary items					
Reported NPAT	3,356	4,908	4,911	6,653	7,661
Dividends					
Transfer to reserves	3,356	4,908	4,911	6,653	7,661

Valuations and ratios

Reported P/E (x)	40.6	27.7	27.7	20.5	17.8
Normalised P/E (x)	40.6	27.7	27.7	20.5	17.8
FD normalised P/E (x)	42.0	28.7	28.7	20.5	17.8
Dividend yield (%)	—	—	—	—	—
Price/cashflow (x)	27.0	22.2	16.5	15.7	13.3
Price/book (x)	3.3	2.9	2.6	2.3	2.0
EV/EBITDA (x)	22.5	16.5	14.9	11.4	9.3
EV/EBIT (x)	28.7	19.8	17.6	13.3	10.8
Gross margin (%)	41.0	46.0	44.2	46.4	46.6
EBITDA margin (%)	32.3	37.7	35.3	37.5	37.7
EBIT margin (%)	25.4	31.4	29.8	32.2	32.5
Net margin (%)	18.0	22.5	19.5	22.6	22.8
Effective tax rate (%)	18.4	21.0	19.0	19.0	19.0
Dividend payout (%)	0.0	0.0	0.0	0.0	0.0
ROE (%)	8.2	11.0	9.9	12.0	12.2
ROA (pretax %)	9.9	13.3	13.3	16.0	17.7

Growth (%)

Revenue	9.6	16.7	15.3	17.2	13.8
EBITDA	7.1	36.2	7.9	24.5	14.4
Normalised EPS	0.9	46.3	0.1	35.5	15.1
Normalised FDEPS	2.2	46.3	0.1	40.3	15.1

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	6,035	8,219	8,872	11,048	12,641
Change in working capital	-3,000	1,423	2,229	474	1,240
Other operating cashflow	2,182	-3,302	-2,569	-2,863	-3,633
Cashflow from operations	5,217	6,341	8,531	8,658	10,249
Capital expenditure	-3,842	492	-5,100		
Free cashflow	1,375	6,833	3,431	8,658	10,249
Reduction in investments	0	0	0	0	
Net acquisitions					
Dec in other LT assets	-1,043	-4,266	-1,057	-1,150	-1,219
Inc in other LT liabilities	-673	-497	44	44	45
Adjustments	1,616	1,184	957	-1,676	-1,635
CF after investing acts	1,276	3,254	3,375	5,877	7,441
Cash dividends					
Equity issue	0	0	0	0	0
Debt issue	490	-1,629	96	105	115
Convertible debt issue	0	0	0	0	0
Others	-3,156	-690	863	1,210	1,728
CF from financial acts	-2,666	-2,319	958	1,315	1,843
Net cashflow	-1,391	935	4,333	7,192	9,284
Beginning cash	9,670	8,279	9,214	13,547	20,739
Ending cash	8,279	9,214	13,547	20,739	30,023
Ending net debt	-5,643	-8,171	-12,409	-19,495	-28,664

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	8,279	9,214	13,547	20,739	30,023
Marketable securities					
Accounts receivable	6,241	8,853	7,880	8,914	9,781
Inventories	1,522	1,381	2,090	2,353	2,669
Other current assets	6,008	3,361	3,405	3,450	3,496
Total current assets	22,049	22,809	26,922	35,457	45,970
LT investments					
Fixed assets	26,070	27,739	30,451	30,498	30,341
Goodwill	1,530	1,530	1,530	1,530	1,530
Other intangible assets	442	467	470	475	479
Other LT assets	6,885	11,152	12,208	13,359	14,577
Total assets	56,977	63,697	71,582	81,319	92,897
Short-term debt	2,435	874	961	1,057	1,163
Accounts payable	3,426	3,287	4,477	5,128	5,915
Other current liabilities	2,760	4,147	4,966	6,131	7,814
Total current liabilities	8,621	8,308	10,404	12,316	14,891
Long-term debt	201	169	178	187	196
Convertible debt					
Other LT liabilities	2,678	2,180	2,224	2,269	2,314
Total liabilities	11,500	10,657	12,806	14,771	17,401
Minority interest	3,658	5,791	6,616	7,734	9,022
Preferred stock					
Common stock	0	0	0	0	0
Retained earnings	41,819	47,248	52,160	58,813	66,474
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	41,819	47,249	52,160	58,814	66,474
Total equity & liabilities	56,977	63,697	71,582	81,319	92,897

Liquidity (x)

Current ratio	2.56	2.75	2.59	2.88	3.09
Interest cover	30.1	47.9	47.6	54.7	57.3

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	82.21c	1.20	1.20	1.63	1.88
Norm EPS (CNY)	82.21c	1.20	1.20	1.63	1.88
FD norm EPS (CNY)	79.39c	1.16	1.16	1.63	1.88
BVPS (CNY)	10.24	11.57	12.78	14.41	16.28
DPS (CNY)	0.00	0.00	0.00	0.00	0.00

Activity (days)

Days receivable	122.5	126.4	121.5	104.1	102.0
Days inventory	54.4	45.0	45.2	51.4	51.3
Days payable	112.6	104.1	101.1	111.1	112.9
Cash cycle	64.3	67.3	65.7	44.4	40.5

Source: Company data, Nomura estimates

Company profile

WuXi Biologics is a leading global open-access biologics technology platform offering end-to-end solutions to empower organizations to discover, develop, and manufacture biologics from concept to commercial manufacturing. The company's history and achievements demonstrate its commitment to providing a truly ONE-stop service offering and strong value proposition to its global clients. The company is currently conducting on behalf of its clients and partners (as of Dec 31, 2025) a total of 945 integrated projects, including 463 in pre-clinical development stage; 383 in early-phase (phase I and II) clinical development; 74 in late-phase (phase III) development; and 25 in commercial manufacturing. .

Valuation Methodology

Our target price of HKD51.38 is based on a DCF model, assuming WACC 10.1% and terminal growth of 4.0%. The benchmark index for the stock is Hang Seng Index

Risks that may impede the achievement of the target price

Downside risks include: (1) increasing global competition; and (2) geopolitical tensions

ESG

Wuxi Bio has clear blueprint and actions on ESG management. To the environment protection, the group aims to reduce its scope 1 and scope 2 GHG emission intensity by 50% by 2030 from a 2020 base year, and to reduce water consumption intensity by 18% by 2025 from a 2019 base year. To social responsibility, Wuxi Bio not only financially supports areas hit by natural adversity, but also formed a volunteer association at group level. To corporate governance, the group always focus on diversity, equity and inclusion, making related policies to create equal and inclusive culture.

Fig. 1: Wuxi Bio 1H26F income statement forecast

CNYmn	1H25	1H26F	YoY
Revenue	9,953	11,496	15.5%
COGS	(5,700)	(6,668)	17.0%
Gross profit	4,253	4,828	13.5%
<i>GP margin(%)</i>	<i>42.7%</i>	<i>42.0%</i>	<i>-0.7%</i>
R&D expenses	(344)	(414)	20.5%
G&A expenses	(781)	(897)	14.8%
Selling expenses	(270)	(322)	19.2%
Operating profit	2,858	3,196	11.8%
<i>OP margin(%)</i>	<i>28.7%</i>	<i>27.8%</i>	<i>-0.9%</i>
Other income and expenses	554	(200)	-136.1%
Interest expenses	(84)	(115)	37.6%
Pre-tax profit	3,328	2,881	-13.4%
Income tax	(571)	(547)	-4.2%
Profit after tax	2,757	2,334	-15.3%
<i>NP margin(%)</i>	<i>28%</i>	<i>20%</i>	
Minority interest	417	350	-16.1%
Net profit to shareholders	2,339	1,984	-15.2%

Source: Company data, Nomura estimates

Appendix A-1

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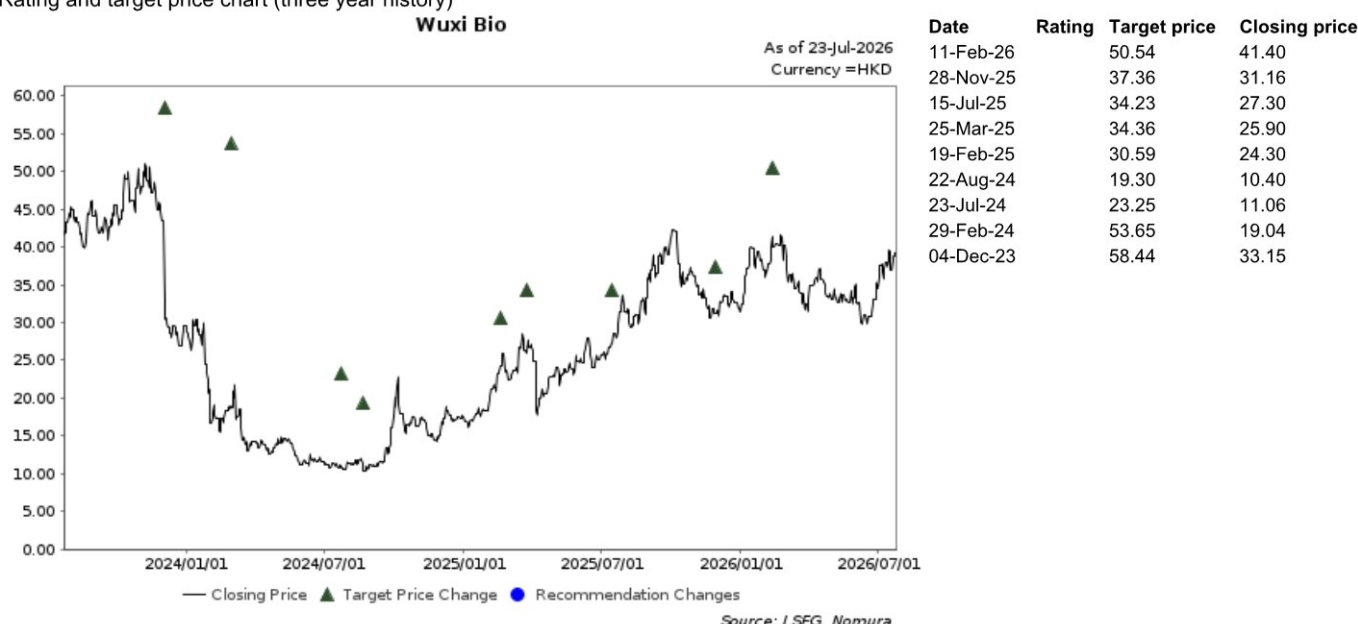
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Wuxi Bio	2269 HK	HKD 39.24	23-Jul-2026	Buy	N/A	A10

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Wuxi Bio (2269 HK)

HKD 39.24 (23-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of HKD51.38 is based on a DCF model, assuming WACC 10.1% and terminal growth of 4.0%. The benchmark index for the stock is Hang Seng Index

Risks that may impede the achievement of the target price Downside risks include: (1) increasing global competition; and (2) geopolitical tensions

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As at 30 June 2026.

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